

Fineprint Assigned Questions

1. Consider the special order from Abbie Jenkins (and ignore the outsourcing opportunity).
 - a. Fineprint is currently operating at full capacity of 150,000 brochures. Should Johnson accept the special order?
 - b. Now assume that monthly printing capacity is 200,000 brochures, that current monthly production is 150,000 brochures, and that operating costs at this level are as shown in Exhibit 1. Also assume that this order would not affect any of Fineprint's current business with its regular customers. Should Johnson accept the special order?
2. Consider the outsourcing opportunity from Ernest Bradley (and ignore the special order). Should Fineprint outsource 30,000 brochures to Smallprint?
3. Assume now that Fineprint is operating at full capacity of 150,000 brochures per month. Advise whether Johnson should both accept the special order and outsource this job to Smallprint.